Customer Segmentation: Is It a Necessary Business Decision?

Customer segmentation is widely promoted as a smart move for any business that wants to grow. Yet simply grouping customers guarantees neither useful insights nor better business decisions. So, is customer segmentation a necessary business decision?



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1. Introduction

Customers differ in many ways. For example, some buy frequently but spend little, while others rarely buy but spend heavily. Some remain loyal for years, while others disappear after a single purchase. Whatever form the differences take, understanding them can help businesses gain valuable insights into their customers, such as their needs and habits. Customer segmentation is one approach to leveraging these insights. It divides customers into groups that share common characteristics, such as age, income, location, lifestyle, and purchasing behaviour. This allows businesses to serve their customers more effectively, and potentially realise several benefits, from more targeted marketing and better resource allocation to improved customer retention.

The factors used to segment customers are wide ranging and depend on the nature of the business and its customers, the information available, and what the business hopes to achieve. Historically, however, identifying meaningful customer segments was constrained by the limited volume and scope of available data. Digitalisation has helped mitigate these constraints by expanding both the depth and breadth of customer datasets available to businesses. At the same time, advances in analytical tools and methodologies have made it easier to identify complex patterns in customer behaviour that were once difficult or computationally intensive to detect.

Many businesses are encouraged to adopt customer segmentation. Its use has been documented across diverse sectors, including entertainment, retail, hospitality, and travel, and is widely advocated as an important business decision, both in academic research and by management consultancies. Nevertheless, popularity and the growing ease of segmenting customers do not settle a more basic question: **Is customer segmentation a necessary business decision?**

To address this question, the article examines the benefits of customer segmentation, how digitalisation has changed it, and its limitations. It then considers whether customer segmentation is a necessary business decision before concluding.

The primary objective of the article is to help business owners understand the benefits and limitations of customer segmentation and determine whether it is a business decision they should pursue.

2. Benefits of Customer Segmentation

Treating all customers in the same way is widely considered to be inefficient and ineffective. According to the marketing literature, doing so risks directing resources towards less promising opportunities, overlooking the needs of important customers, setting prices without understanding how customers differ in value, or losing customers whose needs are not being met. Customer segmentation is presented as a way of addressing these risks by identifying differences between customer groups and informing more targeted decisions. The literature highlights several potential strategic benefits of segmenting customers, including:

A. Efficient Resource Allocation

Businesses have limited resources such as money, staff and time. Rather than relying solely on marketing campaigns aimed at everyone, segmentation helps businesses decide where to direct their resources by identifying customer groups that offer different opportunities or require different approaches. This can make marketing efforts more effective and help reduce spending on customers who are less likely to respond.

B. Tailored Products and Services

Customers do not always have the same needs, preferences or expectations. Understanding this can help businesses develop products, services and service levels that better reflect what particular groups of customers want. For example, a hair salon might offer quick-trim appointments for busy professionals and longer treatment packages for customers who want a full service, while an accountancy firm might offer a basic bookkeeping package to sole traders and a broader range of services to growing companies. This tailoring can make an offer more relevant to each group and may improve customer satisfaction.

C. Better-Informed Pricing and Profitability Decisions

Not all customers contribute equally to profit, and they do not all respond to price in the same way. Some may pay more for convenience or quality, while others buy mainly on price, and some spend a lot but are costly to serve. Understanding these differences can help businesses make better pricing decisions, including offering different service levels, discounts for larger orders or membership options.

D. Improved Customer Retention and Lifetime Value

Customers may differ in their likelihood of remaining with a business, their reasons for leaving and the value of their relationship over time. Segmentation can help businesses identify groups with different retention needs and develop more appropriate responses, such as targeted communication, loyalty initiatives or re-engagement campaigns. These efforts may strengthen customer relationships and increase customer lifetime value, particularly when they address the factors that influence customer behaviour.

3. Customer Segmentation and Digitalisation

Digitalisation has expanded the potential of customer segmentation by broadening the information available, widening the choice of methods and making the process more accessible. Prior to advances in digital technology, businesses typically used a limited range of information, such as demographics, location, purchase records and survey responses. This information was often collected periodically or from samples, so building and updating segments was slow and costly. Advances in digital technology have significantly expanded the information businesses can collect about their customers, particularly in e-commerce. Through digital channels, businesses can observe a wider range of customer behaviour, including searches, clicks, browsing activity, purchases, abandoned shopping carts, product interactions and responses to recommendations. This information provides opportunities to understand customer behaviour in more detail and, where appropriate, refine customer segments as behaviour changes. For instance, traditional segmentation might classify a customer as high value based solely on their purchasing history, but digital behavioural data can add context, such as whether that customer is currently browsing a particular product category or showing interest in a specific product.

The types of information that can be used for customer segmentation have also widened. Digitalisation has enabled customer reviews, comments and other free text to be analysed using text-analysis methods such as sentiment analysis, which identifies whether feedback is positive, negative or neutral, and topic modelling, which identifies recurring themes. These methods can reveal preferences and opinions that purchase records alone may not show, and, when combined with transaction and behavioural data, provide a broader picture of customers and their interactions with a business.

As the volume and complexity of customer data have increased, so have the methods available for segmenting customers. Traditional methods rely on simple rule-based grouping. RFM (Recency, Frequency and Monetary Value) analysis, for instance, divides customers by how recently they bought, how often they buy and how much they spend. These remain useful, but they can offer limited insight when customer behaviour is shaped by many factors at once. Advances in digital technology have made it easier for businesses to use statistical and machine-learning methods that identify patterns across many variables simultaneously. A widely applied method is cluster analysis, which groups customers according to similarities in the data. One commonly used technique is k-means, while alternatives such as hierarchical clustering, fuzzy c-means and latent class analysis suit different data and purposes.

The popularity of methods like k-means partly reflects practical convenience. They are computationally efficient, built into many software tools, and produce results that translate easily into customer personas or tiers. Many email platforms, e-commerce systems and analytics tools now include features that allow businesses to group customers and tailor their approaches without developing their own analytical systems. Notably, the ease of using these tools does not guarantee that the resulting segments are meaningful or useful for business decisions.

Overall, digitalisation has made segmentation more possible and more accessible, allowing businesses to draw on a wider range of information and, in some contexts, to update segments more frequently. However, more data also brings obligations around privacy and data protection, and customers may also be wary of how their information is used. The central question therefore remains whether the insights gained are meaningful and useful enough to justify the resources required to obtain them.

4. Limitations of Customer Segmentation

Customer segmentation can provide useful benefits, but it also has important limitations. Key limitations include the quality of the data and the choice of segmentation factors, the analytical choices made, changing customer behaviour and the translation of findings into effective business decisions.

A. Data Quality and the Choice of Segmentation Factors

Segmentation is only as informative as the customer data on which it is based. Incomplete, inaccurate or unrepresentative data can produce segments that fail to reflect important characteristics of the customer population. The factors used to group customers also matter. A business may identify different segments depending on whether the analysis focuses on characteristics such as age, income, lifestyle, purchasing behaviour or product preference, which can make the results harder to compare or rely on.

B. Analytical Choices

Different analytical choices can lead to different results. This is particularly relevant when clustering is used. The resulting groups do not necessarily represent distinct customer segments that exist naturally or have clear practical significance. Where the data show no clear group structure, a different method or set of factors may produce different results. Even when distinct groups can be identified, their usefulness depends on whether they reveal meaningful differences that can inform business decisions.

C. Changing Customer Behaviour

The needs, preferences and behaviour of customers generally evolve over time. As a result, segmentation built on past data may no longer accurately reflect the current customer base. Changes in economic conditions, new competitors or shifts in customer preferences, for instance, can alter purchasing patterns and the characteristics that distinguish one group from another. Relying too heavily on existing segments can therefore make a business less responsive to emerging trends. Segmentation may need to be reviewed and updated periodically to remain relevant.

D. Translating Findings into Effective Decisions

Perhaps the most important limitation is that identifying differences between customers does not, by itself, establish how those customers will respond to a business intervention. Consider a segment of customers whose purchases have recently declined. Identifying this group may help a business recognise a potential issue, but segmentation alone cannot establish whether offering a discount, changing the product offering or increasing communication will encourage these customers to return. Answering that question may require additional analysis, such as controlled experiments or other methods for evaluating the effects of different interventions.

Ultimately, segmentation can help businesses identify **how customers differ**, but it does not necessarily explain **why they behave as they do** or **what will change their behaviour**.

5. Is Customer Segmentation a Necessary Business Decision?

Although customer segmentation is widely advocated as an important business decision, whether it is necessary depends on whether customers differ in ways that have implications for

the decisions a business needs to make. These decisions may involve identifying which customers to target, allocating marketing resources, retaining existing customers, or developing products and services that better meet customer needs. When customers vary in how they buy, how much profit they generate for the business, or how they respond to its activities, a one-size-fits-all strategy may be less effective. Customer segmentation serves as a diagnostic tool; it can help identify where customers differ and which customers may need different approaches.

For example, a business may find that a large share of its revenue comes from a small proportion of its customers; recognising this may help it decide how best to retain its high-value accounts. Similarly, another business might find that customers who purchase the same product do so for different reasons, an insight that may help it improve its product offering or marketing. In both cases, segmentation is useful because it informs a specific decision, rather than acting as a passive description of the customer base. The technique, however, may add little value if existing data are already sufficient for action, or if the business intends to use the same approach regardless of the groups identified.

Notably, even when a business can recognise differences and segment its customers into distinct groups, this does not automatically mean that segmentation was necessary. Marketing theory suggests that, for segments to be useful, they must be:

- Measurable – their size and characteristics can be identified from the available data;
- Substantial - large and profitable enough to serve;
- Accessible - easy to reach with marketing;
- Differentiable – distinct from one another and responsive to different activities;
- Actionable - within the operational capacity of the business to pursue.[1]

For smaller businesses, these requirements translate into highly practical conditions. A business must be able to identify distinct groups from the data it has, and there must be enough customers within each segment to make them meaningful rather than a statistical anomaly. Furthermore, the business must have the means to reach each segment and treat it uniquely through tailored offers, pricing, communication, or customer service. Finally, the expected return should justify the time and cost involved, including the capacity to act on the findings and to judge whether the action made a difference, since customer segmentation does not end once the segments are created.[2] Beyond these operational hurdles, businesses must also remain explicitly clear about what customer data they are legally permitted to collect and use.

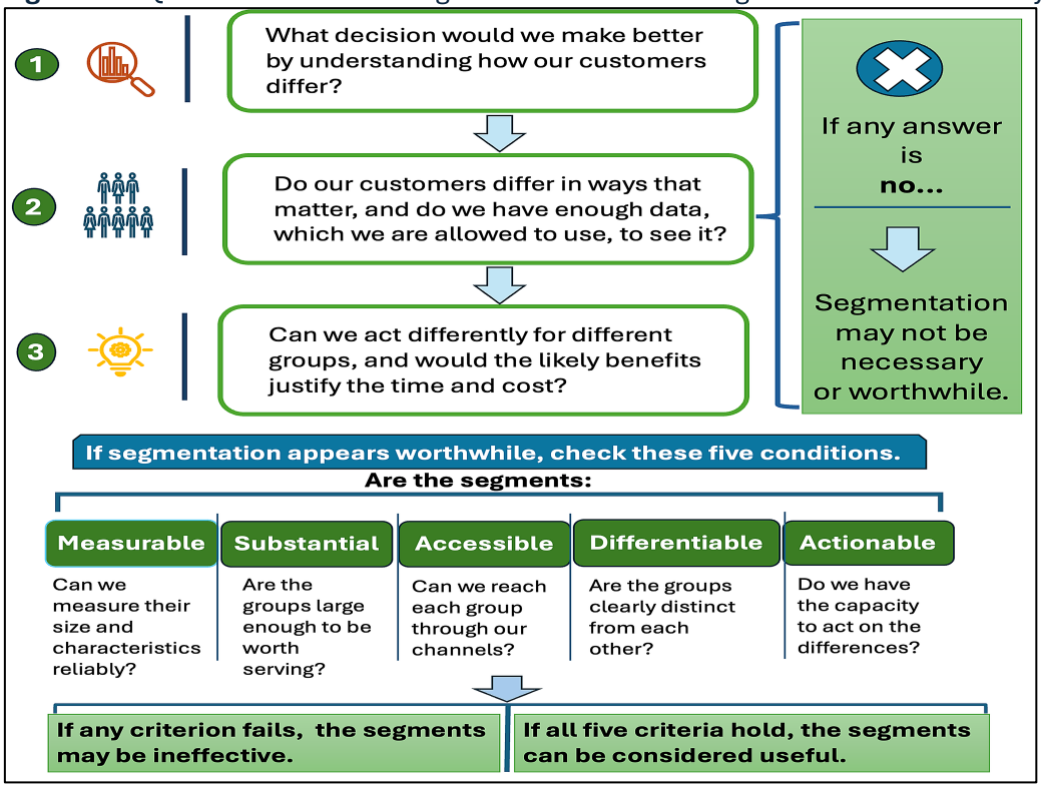
Additionally, despite the clear theoretical advantages of customer segmentation, empirical evidence of benefits in real organisational applications remains limited.[3] Moreover, the

[1] Rizky et al., 2025
[2] Salminen et al., 2023
[3] Salminen et al., 2023

available evidence does not establish that customer segmentation consistently improves business performance. For instance, a case study of the mail-order catalogue company, SilverMinds Direct, reported that segmenting its database of roughly 250,000 customers, using RFM analysis, improved mailing selections, increased revenue by more than 5%, and generated a return exceeding 20 times the cost of the project.[4] By contrast, a study of a small food-and-beverage business[5] found that segmentation, along with targeting and positioning was not statistically significant predictors of short-term sales performance. Although the latter study did not isolate the effect of segmentation alone, it illustrates that adopting these strategies does not necessarily translate into measurable improvements in sales.

Fundamentally, the value of customer segmentation is context-dependent; it becomes a necessary business decision when customer differences affect decisions the business can act on, and when the expected benefits justify the costs. The decision to segment should therefore begin with a fundamental operational question: what decisions could a business make more effectively if it thoroughly understood the differences between its customers?

Figure 1: A Quick Guide to Deciding Whether Customer Segmentation is Necessary



Source: Created by the author; resolution enhanced with AI

[4] Patron, 2004

[5] Nurhayani, Sutrisno and Abu, 2025

6. Conclusion

Customer segmentation has evolved from a relatively straightforward way of describing differences among customers into an increasingly sophisticated analytical tool for supporting differentiated business decisions. Yet creating customer segments is not, in itself, evidence of success. Groups can be identified with great precision and still make no difference to what a business does or earns.

So, is customer segmentation a necessary business decision? Not always. Its value depends on the circumstances in which it is used. It is most likely to be worth the effort when customers genuinely differ in ways that matter to the business, when the data needed to reveal those differences are available, when the business can treat the groups differently, and when it can tell whether doing so made a difference. Where customers are broadly similar, existing knowledge is already sufficient, or the business would act in the same way regardless, simpler approaches may serve just as well.

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